

complaint

Mr and Mrs H complain that they were mis-sold a policy for an empty property by Stride Limited.

background

Mr and Mrs H bought a home insurance policy through Stride for an empty property. The policy was set up in November 2017. At the time the property had been unoccupied for some time, this was noted on the statement of fact. In April 2018 Mr and Mrs H had cause to make a claim as the property was damaged due to vandalism. When they were told that the excess for this type of claim was £1,000, as the property was unoccupied, they contacted Stride as they felt they had been mis-sold a policy that wasn't suitable for unoccupied properties. Stride contacted the insurer and, as this appeared to be collateral damage (paint was thrown at a neighbour's car and some splashed onto the property) the insurer agreed to only apply a £100 excess. As the claim was for only £300 Mr and Mrs H decided not to proceed with it.

Stride offered to cancel the policy and refund the premiums, although it denied the policy was unsuitable. Mr and Mrs H rejected this as they wanted Stride to tell them what the policy did cover. They then made a complaint to this service. The offer has been withdrawn. Mr and Mrs H want the policy to be cancelled and the premiums returned. They also want the claim removed from the record as they don't want it to affect the cost of future insurance.

Our investigator didn't uphold the complaint as she didn't believe the policy was mis-sold to Mr and Mrs H.

The matter has been passed to me for consideration.

my findings

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint.

Mr and Mrs H say that the policy was mis-sold to them, as it is an unsuitable one for unoccupied properties. They believe that after 45 days the policy became invalid and nothing is covered. They also say the policy document wasn't sent to them until after the claim.

From the documents sent in by Stride, I can see that a statement of facts and policy schedule were sent to Mr and Mrs H by email with a link to the policy wording. I believe they received this document as they have referred to it in their correspondence with us. The document itself makes clear that the property is unoccupied. It also says in the schedule "*We will not pay for: ...Certain losses or damage when your home is unoccupied for more than 45 days in a row. See the Buildings section of your Policy booklet for details.*" In fact the risks were still covered but for certain risks, such as theft, vandalism, malicious damage, and accidental damage, the excess was increased to £1,000. That doesn't mean the policy was invalid if the property was unoccupied. So it was a suitable policy for an unoccupied property.

As for whether Mr and Mrs H were given adequate information about the policy wording, I can't say for sure. Stride says they were e-mailed the statement of fact and policy schedule, with links to the policy wording. I think they did receive those documents – if they didn't

receive the link to the policy wording, I haven't seen any evidence that they chased up Stride for this.

But if I accept that Mr and Mrs H weren't aware of the increased excess, then I have to consider whether they would have acted any differently had they been aware of it. The conditions in the policy include, as I've said an increased excess, and a requirement to regularly inspect and to drain down the water system over the winter months. These are common terms which are usually applied where the property is unoccupied. I would doubt that Mr and Mrs H would be able to obtain a policy with more advantageous terms, at least not at the price paid for the policy. And Stride has said it was the most competitive policy it could source.

In respect of the claim itself, I can't make the insurer change its records, if it has recorded it as a claim. The insurer was willing to cover the damage under the policy but Mr and Mrs H decided not to proceed. So I can't say there wasn't a valid claim.

In respect of the premium, I understand that Stride was initially prepared to refund this. But Mr and Mrs H wanted the policy kept on whilst they reviewed their position. The offer has been withdrawn as the policy is close now to its renewal date. I understand that they have now cancelled the policy. That's a matter for them, but as I've made no finding against Stride, I can't require it to refund the premium. As I've said the policy was perfectly valid.

my final decision

I don't uphold the complaint.

Under the rules of the Financial Ombudsman Service, I'm required to ask Mr and Mrs H to accept or reject my decision before 25 October 2018.

Ray Lawley
ombudsman